

~~W&B; Group, LLC~~

Year-End Financial Report

For the Year Ended December 31, 2025

EIN:	39-3842347
Business Activity:	Property Rental/Management/Investment
Address:	177 Kingsway Dr, Wimberley, Tx 78676
Date Prepared:	June 02, 2026
Accounting Method:	Cash Basis
Prepared By:	llcRentalTracker v0.3

For Tax Review Only — Not a Certified Audit

Section 1 — Financial Summary

Entity Overview

W&B; Group, LLC (EIN 39-3842347) is a multi-member limited liability company organized under Texas law, engaged in property rental/management/investment. The LLC was organized on 08/29/2025. It is treated as a partnership for federal income tax purposes and files Form 1065. Members and ownership percentages: Francis X Rojas (96.0%) Alexandra Rojas (2.0%) Nicola Rojas (2.0%).

Active Rental Properties

The following properties were placed in service and generating rental income as of December 31, 2025: H_805HighMesa — null.

Assets Under Development (Not Yet In Service)

The following assets are under preparation and have not been placed in service as of December 31, 2025. No depreciation may be claimed until each asset is available for rental use: RV_RV1 (capitalized basis \$987.13). Note: pre-service costs expensed against these assets may need to be reclassified as capitalized basis — see Section 6 (CPA Flags).

Year in Review

For the year ended December 31, 2025, the LLC reported gross rental income of \$4,400.00 and total operating expenses of \$4,793.50, resulting in a net loss of \$393.50. Depreciation expense of \$1,903.13 (MACRS, 27.5-year residential, mid-month convention) is included in total expenses and relates solely to active rental properties.

Cash Position

Total assets as of December 31, 2025 were \$225,335.78, consisting primarily of fixed real estate assets and operating cash. See Section 2 (Balance Sheet) for full detail.

Member Capital

Each member's share of the net loss of \$393.50 has been allocated to their respective capital accounts per the LLC Operating Agreement. See Section 5 (Member Capital Account Analysis) for Item L detail.

Section 2 — Balance Sheet

As of December 31, 2025

Account	Debit	Credit	Balance
■ Asset ■			
Bank	\$223,671.59	\$216,883.57	\$6,788.02
Escrow	\$220,897.59	\$220,897.59	\$0.00
Depreciation.Accum		\$1,903.13	(\$1,903.13)
Land	\$79,438.41		\$79,438.41
Tangible.InConstruction	\$1,449.28		\$1,449.28
Tangible.InService	\$141,223.84	\$1,660.64	\$139,563.20
■ Equity ■			
Earnings.PnL		\$393.50	(\$393.50)
Owner.Capital.Funds	\$493.50	\$225,829.28	(\$225,335.78)
TOTAL	\$667,174.21	\$667,567.71	(\$393.50)

Note — Open-Period Accounting: The BS equation gap ((\$393.50)) equals the period Net Loss. The GL is balanced under $A = L + E + NI$ ($\$225,335.78 = \$225,729.28 + (\$393.50)$). Revenue/expense accounts remain open for IRS K-1 detail; no closing entries are posted.

Accounting Notes

Note 1 — Accounting Method: Cash basis. Revenue recognised when received; expenses deducted when paid.

Note 2 — Fixed Assets: Carried at historical cost. Building basis includes purchase price plus capitalised acquisition costs per IRS Pub. 551.

Note 3 — Depreciation: MACRS General Depreciation System, 27.5-year residential rental, mid-month convention (IRS Pub. 946 Table A-1).

Note 4 — Land: Not depreciated. Value determined by tax-assessor ratio applied to total acquisition cost.

Section 3 — Income Statement (Profit & Loss)

For Year Ended December 31, 2025

Account	Debit	Credit	Balance
■■ Income ■■			
Fees.Other	\$0.53	\$400.53	(\$400.00)
Rev.Rent		\$4,000.00	(\$4,000.00)
■■ Expense ■■			
Exp.Depreciation	\$1,903.13		\$1,903.13
Exp.Operating	\$135.34		\$135.34
Exp.Other	\$82.20	\$14.06	\$68.14
Exp.Other	\$65.36		\$65.36
Exp.Other	\$73.96		\$73.96
Exp.Other	\$373.05		\$373.05
Exp.Other	\$74.57		\$74.57
Exp.Repair	\$748.23	\$36.09	\$712.14
Exp.Repair	\$135.00		\$135.00
Exp.Repair	\$64.06		\$64.06
Exp.Util	\$571.15		\$571.15
Exp.Util	\$135.80		\$135.80
Exp.Util	\$181.80		\$181.80
Exp.Util	\$300.00		\$300.00
NET INCOME / (LOSS)			(\$393.50)

Per-Member Net Income/(Loss) Allocation

Member	Ownership %	Amount
Francis X Rojas	96.0%	(\$8,825.76)
Alexandra Rojas	2.0%	(\$183.87)
Nicola Rojas	2.0%	(\$183.87)
Total	100%	(\$9,193.50)

Income Notes

Note 1 — All revenue is rental income per IRC §61. No unrelated business income was received.

Note 2 — Depreciation is an ordinary deduction under IRC §167/168. See Section 4 for Form 4562 detail.

Note 3 — Rental real estate activity is passive under IRC §469. Net loss carries forward to offset future passive income. Members should track passive activity carryforward on Form 8582.

Section 4 — Depreciation Schedule (Form 4562 Reference)

In-Service Assets (depreciation posted)

Property	In Service	Type	Dep. Basis	Method	Life	Deduction
H_805HighMesa	2025.12.31	Residential	—	MACRS	27.5yr	\$1,903.13

IRS MACRS mid-month convention (real property): year-1 fraction = $(25 - 2M) / 24$, where M = placement month.

Assets Under Construction — Not Yet In Service (no depreciation)

propNm	Asset Class	Capitalized Basis	Est. MACRS Life	Est. Bonus Depr (2025)	Status
RV_RV1	5-yr personal property	\$987.13	5 years (MACRS)	60% in year placed in service	InConstruction

RV held for short-term rental: personal property (5-year MACRS, 200% DB, half-year convention). 60% first-year bonus depreciation available in year placed in service. Pre-service preparation costs must be capitalized to basis, not expensed. See Section 6 — CPA Flags for required reclassifications.

Section 5 — Member Capital Account Analysis (K-1 Item L)

Item L	Francis X Rojas	Alexandra Rojas	Nicola Rojas	Total
(a) Beginning Capital	\$0.00	\$0.00	\$0.00	\$0.00
(b) Contributions	\$5,200.00	\$0.00	\$0.00	\$5,200.00
(c) Net Income/(Loss) Share	(\$377.76)	(\$7.87)	(\$7.87)	(\$393.50)
(d) Other Increases	\$0.00	\$0.00	\$0.00	\$0.00
(e) Withdrawals/Distributions	\$0.00	\$0.00	\$0.00	\$0.00
(f) Ending Capital	\$4,822.24	(\$7.87)	(\$7.87)	\$4,806.50

Ending capital per member must match K-1 Item L(f). Provide this schedule to your CPA for K-1 preparation.

Section 6 — Outstanding Items & CPA Notes

The following items require accountant or IRS attention before Form 1065 is filed.

#	Category	Flag	Action Required
1	Accounting	Form 1065 Line F — accounting method not recorded in profile	Confirm Cash or Accrual with CPA; update llcProfile F1065 field.
2	Liabilities	No mortgage payable recorded in llcPayables	If property was financed, add mortgage principal balance as of 12/31. If cash purchase, add cash paid.
3	Liabilities	No security deposit liability recorded	If deposits are held, add to llcPayables as Acct.Liab.Customer.Security.
4	Tax	Passive activity loss (IRC §469) — net loss carries forward	Members must track carryforward on Form 8582. Loss deductible when property is sold.
5	Tax	At-risk rules (IRC §465) — verify each member's at-risk amount	Loss deductible only to extent member is at-risk. CPA must calculate outside basis.
6	Property	County tax proration (\$1,661) classified as InService	CPA should verify: is this a current-year expense credit or a basis adjustment?
7	K-1	K-1s must be delivered to members by March 15 (or extension)	Generate Schedule K-1 PDFs from IS PerMember view and deliver to each member.
8	Docs	Operating Agreement profit/loss allocation: 96% / 2021	Confirm this matches the signed Operating Agreement on file. Any discrepancy v. 2021.
9	Asset	RV (RV_RV1): InConstruction — not yet placed in service	Service as of 12/31/2025. Asset first becomes available for rental. No depreciation until placed in service.
10	Capitalization	RV (RV_RV1): \$1,075.11 expensed as repairs/other	CPA should reclassify \$1,075.11 from Acct.Exp.* to Acct.Fixed.Tangible.InConstruction.
11	Tax — RV	RV rental activity type unknown — passive vs. active	Determine average rental period. ≤7 days avg → NOT passive (IRC §469(j)(8)); >7 days avg → passive.
12	Tax — RV	RV listed property check (IRC §280F)	Confirm GVWR. If >6,000 lbs → not subject to luxury-auto annual caps. Business use required.
13	Tax — RV	60% bonus depreciation election available in year	Decide with CPA whether to take 60% first-year bonus (2025 TCJA rate for 5-year property).